Balance	Owing	Interest	Minimum Payment
Dept. Store	$500	28%	$16
Visa	$2,000	18%	$66
Mastercard	$1,000	16%	$25
Student Loan	$6,000	10%	$150
Line of Credit	$5,000	8%	$90
Mum & Dad	$1,500	0%	$0
Total	**$16,000**		**$347**

With the money you have designated toward all your debts, make *only* minimum payments on all your debts, except your chosen highest-interest debt, to which you put all the rest of your monthly allocation. Hopefully this is a fair bit more than the minimum payment.

Back to our example. Looking at the table of debts, the highest-interest rate is the department store card with a 28% interest rate. If you have $450 to spend toward your debt, and it costs only $347 to pay the minimum balance on all your debt, apply the extra $103 to your store card. So instead of paying just the $16 minimum payment on the store card, you would pay $119 per month ($103 + $16).

4. Continue until your first debt is paid off.

Now you have one less debt to juggle each month. Yay! It may have taken a while to get here, but now you can cut up one card. No, really. Cut it up. (Especially if it's a department store card. They're pure evil.) The reason you got in this place to begin with is that you had too many cards, so let's reduce the number you have.

In our example, the $119 per month payment to the department store means the debt is paid off in five months. Card is destroyed.

5. Choose the next-highest interest debt on your list.

Repeat the process in steps three and four. You'll notice now, though, that you have more money to contribute toward your next debt of choice, since you now have one less debt payment nagging at your pocketbook.

In our example, Visa is next. Now you have an extra $119 per month since the store card is paid off. Add that to the minimum Visa payments